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LOS ANGELES

SUPERIOR COURT – SOUTHWEST DISTRICT

Honorable Amy N. Carter Thursday, September 17, 2026 Department M Calendar

No.

PROCEEDINGS

John

Burden v. FCA US LLC, et al.

25TRCV02836

1. FCA US LLC's Motion for an Order to Compel Arbitration
and Stay Proceedings

TENTATIVE RULING

FCA US LLC's Motion for an Order Compel Arbitration
and Stay Proceedings is granted.

Background

Plaintiff filed the Complaint on August 22, 2025. Plaintiff alleges the following facts. Plaintiff alleges that his 2024 Jeep Grand Wagoneer suffers from defects. Plaintiff sets forth causes of action under the Song-Beverly Act including causes of action for Breach of the Implied Warranty and Breach of Express Warranty.

Objections

Plaintiff's objections 1 to 6 are overruled.

Motion to Compel

Arbitration

"California law reflects a strong public policy in favor of arbitration as a relatively quick and inexpensive method for resolving disputes. [Citation.] To further that policy, [Code of Civil Procedure] section 1281.2 requires a trial court to enforce a written arbitration agreement unless one of three limited exceptions applies. [Citation.] Those statutory exceptions arise where (1) a party waives the right to arbitration; (2) grounds exist for revoking the arbitration agreement; and (3) pending litigation with a third party creates the possibility of conflicting rulings on common factual or legal issues. (§ 1281.2, subds. (a)–(c).)" *Acquire II, Ltd. v. Colton Real Estate Group* (2013) 213 Cal.App.4th 959, 967.

"The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." *Giuliano v. Inland Empire Personnel, Inc.* (2007) 149 Cal.App.4th 1276, 1284.

"The party opposing arbitration has the burden of demonstrating that an arbitration clause cannot be interpreted to require arbitration of the dispute. Nonetheless, this policy does not override ordinary principles of contract interpretation. [T]he contractual terms themselves must be carefully examined before the parties to the contract can be ordered to arbitration: Although [t]he law favors contracts for arbitration of disputes between parties, there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate." *Rice v. Downs* (2016) 247 Cal.App.4th

1213, 1223 (internal citations and quotations omitted).

In *Rowe v. Exline* (2007) 153 Cal.App.4th 1276, 1286, the Court of Appeal found that “a nonsignatory sued as an agent of a signatory may enforce an arbitration agreement.” *Id.* at 1286. In addition, “a nonsignatory who is the agent of a signatory can even be compelled to arbitrate claims against his will.” *Id.* at 1285, citing *Harris v. Superior Court* (1986) 188 Cal.App.3d 475, 477–78. Further, “in many cases, nonparties to arbitration agreements are allowed to enforce those agreements where there is sufficient identity of parties.” *Valley Casework, Inc. v. Comfort Construction, Inc.* (1999) 76 Cal.App.4th 1013, 1021. This includes nonparties as agents of a party as well as “a third party beneficiary of an arbitration agreement.” *Ibid.*

“Under the doctrine of equitable estoppel, [...] a nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes of action against the nonsignatory are intimately founded in and intertwined with the underlying contract obligations. By relying on contract terms in a claim against a nonsignatory defendant, even if not exclusively, a plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement. Where the equitable estoppel doctrine applies, the nonsignatory has a right to enforce the arbitration agreement.” *Felisilda v. FCA US LLC* (2020) 53 Cal.App.5th 486, 495–96 (internal citations and quotations omitted).

Defendant moves for an order compelling arbitration of Plaintiff's claims and for an order for stay pending completion of arbitration. The motion is made pursuant to Code of Civil Procedure §1281 et seq. and the FAA, on the grounds Plaintiff is bound by a written agreement to arbitrate the subject matter of the Complaint. Defendant argues that a valid arbitration agreement exists between the parties that requires arbitration of Plaintiff's claims.

Code Civ. Proc., § 1281.2 states, in relevant part: “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines

that an agreement to arbitrate the controversy exists[. . .]” “Generally, an arbitration agreement must be memorialized in writing. A party’s acceptance of an agreement to arbitrate may be express, as where a party signs the agreement. A signed agreement is not necessary, however, and a party’s acceptance may be implied in fact or be effectuated by delegated consent. An arbitration clause within a contract may be binding on a party even if the party never actually read the clause.” *Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236 (internal citations omitted).

The burden of production of evidence in the context of a motion to compel arbitration was cogently articulated by the following case. “First, the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy. The moving party can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature. Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion. For this step, it is not necessary to follow the normal procedures of document authentication. If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion. [¶] If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. [¶] If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166 (internal citations and quotations omitted).

Defendant attached a retail installment sale contract which appears to indicate the existence of a sales agreement between Plaintiff and an entity named Coastline CDJR. (Declaration, Stephen T. Grimsrud, ¶ 2, Ex. 1.) Page 5 of the agreement contains an arbitration provision. (Id.) Defendant also attached as Exhibit 3 a separate arbitration

clause signed by Plaintiff wherein he agreed to arbitrate his disputes with FCA. (Id., Ex. 3). In addition, Defendant attached as Exhibit 5 the warranty booklet which also contains an arbitration provision. (Id., Ex. 5).

The relevant language set forth in the arbitration clause states as follows:

"[Y]ou agree that any dispute arising out of or relating to any aspect of the relationship between you and FCA will not be decided by a judge or jury but instead by a single arbitration administered by the American Arbitration Association (AAA) under its Consumer Arbitration Rules." (Id., Ex. 3, Ex.5). The agreement also contains a 30-day opt-out provision. (Id.)

Defendant has met its initial burden of producing prima facie evidence of a written agreement to arbitrate. (Decl., Stephen T. Grimsrud, Exs. 1, 3, 5). The provisions in the arbitration agreements require that the parties submit the instant dispute to arbitration. As noted above, at this stage, Defendant need only show prima facie evidence of the existence of the agreement which it has properly done.

Thus, the burden shifts to Plaintiff to produce evidence to challenge the authenticity of the agreement, by, for example, challenging that he ever signed and agreed to the agreement. Plaintiff did not meet his burden to provide admissible evidence to validly dispute the existence of the arbitration agreement. Plaintiff made arguments in the form of points and authorities in opposition and asserted objections to Defendant's evidence. However, Plaintiff submitted no evidence to dispute that he entered into an arbitration agreement.

The Court finds that the warranty booklet can form the basis for an arbitration agreement between the parties. The recent decision of *Kostandian v. American Honda Motor Co., Inc.* (2026) 120 Cal.App.5th 872 is controlling. There, American Honda similarly presented evidence of the existence of the arbitration provision in the warranty booklet. The Court determined that Defendant met its initial burden of showing the existence of an arbitration provision. Similarly, to the instant action, the Court determined that the Plaintiff failed to meet its burden to submit competent evidence to show that the parties did not enter into an arbitration agreement. Id. at 883.

In the instant action, Plaintiff argues that the warranty provision is unenforceable and cannot be held to bind the buyer in any manner. Similarly, in *Konstandian*, the Plaintiff argued that the arbitration clause in the warranty booklet cannot be enforced as a matter of contract law, and, relied on several cases including *Knutson v. Sirius XM Radio Inc.* (9th Cir. 2014) 771 F.3d 559 and *Norcia v. Samsung Telecommunications America, LLC* (9th Cir. 2017) 845 F.3d 1279. However, the *Konstandian* Court found these decisions distinguishable and inapposite. As to *Norcia*, the Court noted that the *Norcia* case was founded upon a non-warranty dispute. “The *Norcia* court expressly noted it was not ruling on whether the consumer could be required to arbitrate claims arising out of a warranty information brochure ‘because *Norcia* has not brought any warranty claims against Samsung.’” *Konstandian v. American Honda Motor Co., Inc.* (2026) 120 Cal.App.5th 872, 883. As to *Knutson*, that case was found to be distinguishable because no evidence was presented to support that the respondent-plaintiff “did not receive the warranty booklet until after the sale was completed.” *Id.* at 884. Further, the Court noted the contradictory nature of such an argument since Plaintiff in that case, and, of course, the Plaintiff in the instant case, is presenting a claim based on the warranty provided by Defendant and the representations made in the warranty.. However,

The Court notes that Plaintiff filed this lawsuit based specifically on the written warranty and now appears to disavow a clause in the written warranty claiming that it cannot be established that the parties entered into such an agreement. If Plaintiff did not assent to the warranty, it is unclear how Plaintiff believes that he can enforce the terms of that warranty. “[A] nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes of action against the nonsignatory are intimately founded in and intertwined with the underlying contract obligations. By relying on contract terms in a claim against a nonsignatory defendant, even if not exclusively, a plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement. The focus is on the nature of the claims asserted by the plaintiff against the nonsignatory defendant.” *Boucher v. Alliance Title Co., Inc.* (2005) 127 Cal.App.4th 262, 271–272 (internal citations and quotations omitted). Plaintiff’s reference to *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 for the proposition that Plaintiff cannot be deemed to be equitably estopped from repudiating the agreement is not availing. *Ford*

Motor Warranty Cases is distinguishable because that case did not rely upon a warranty agreement between the parties but instead solely on third party retail vehicle installment contracts between third party dealers and the buyer.

Therefore, the burden now shifts to Plaintiff to show that the arbitration clause should not be enforced. Rice, supra, 247 Cal.App.4th at 1223. Plaintiff also presented some arguments regarding unconscionability but again did not file any evidence to support these arguments. Plaintiff did not meet his burden to show that the arbitration agreement should not be enforced.

Plaintiff argues that the arbitration clause is unconscionable. A court can invalidate an arbitration agreement when it is unconscionable or against public policy. See *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 99. Unconscionability contains two elements: procedural unconscionability and substantive unconscionability.

[U]nconscionability has both a procedural and a substantive' element, the former focusing on 'oppression' or 'surprise' due to unequal bargaining power, the latter on 'overly harsh' or 'one-sided' results. The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." But they need not be present in the same degree. Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." See *Armendariz*, 24 Cal.4th at 114.

"The traditional standard of unconscionability . . . is that the inequality amounting to fraud must be so strong and manifest as to shock the conscience and confound the judgment of any man of common sense. Subsequent decisions have defined an unconscionable contract in varying but similar terms, such as a contract that no man in his senses and not under delusion would make

on the one hand, and as no honest and fair man would accept on the other.” See *California Grocers Assn. v. Bank of America* (1994) 22 Cal.App.4th 205, 214-15 (internal citations omitted).

Procedural unconscionability may be established by showing oppression and surprise.

Oppression occurs where the parties have unequal bargaining power, and the contract is not the result of meaningful negotiations. Surprise recognizes the extent to which the agreed upon terms were hidden.

“In many cases of adhesion contracts, the weaker party lacks not only the opportunity to bargain but also any realistic opportunity to look elsewhere for a more favorable contract; he must either adhere to the standardized agreement or forego the needed service.” *Madden v. Kaiser Foundation Hospitals* (1976) 17 Cal.3d 699, 711. Simply because a contract may have elements of an adhesion contract does not render the agreement procedurally unconscionable. “The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement.” *Sanchez v. Valencia Holding* (2015) 61 Cal.4th 899, 912.

“[C]ourts, including ours, have used various nonexclusive formulations to capture the notion that unconscionability requires a substantial degree of unfairness beyond a simple old-fashioned bad bargain. This latter qualification is important. Commerce depends on the enforceability, in most instances, of a duly executed written contract. A party cannot avoid a contractual obligation merely by complaining that the deal, in retrospect, was unfair or a bad bargain. Not all one-sided contract provisions are unconscionable; hence the various intensifiers in our formulations: ‘overly harsh,’ ‘unduly oppressive,’ ‘unreasonably favorable.’ The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement.” *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1245 (internal citations and quotations omitted; emphasis in original).

As noted above, Plaintiff submitted no evidence to support any unconscionability argument. Plaintiff’s stray arguments regarding the alleged adhesive nature of the agreement do not

establish procedural unconscionability. Defendant has no obligation to highlight, explain, or discuss the terms of the arbitration agreement as any such requirement would be contrary to the FAA. *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal. 4th 899, 914-15. But, most fundamentally, Plaintiff submitted no competent first-hand evidence, such as Plaintiff's own declaration, to support the argument of procedural unconscionability. Plaintiff has not established that the agreement is procedurally unconscionable.

As noted above, both procedural and substantive unconscionability must exist for the Court to exercise its discretion to refuse to enforce the arbitration provision. Thus, the Court need not even analyze the element of substantive unconscionability. However, Plaintiff's argument stating that the agreements is substantively unconscionable based on one-sided terms and potential results are also not well taken and completely conclusory. Plaintiff's argues that language in the agreement stating: "You agree..." establishes lack of mutuality. However, this argument is not well taken because the agreement itself states that FCA is also bound by the arbitration clause. There is no need for similar "Your agree" language to be made by FCA since FCA is presumably the party which drafted the agreement. This argument is nonsensical.

Therefore, Defendant's Motion to Compel Arbitration and to Stay Action is granted.

An OSC Re: Status of Arbitration is set for _____.

Defendant is ordered to give notice of this ruling.